



Financial institutions, fintechs and the gray area

Industry perspective and strategies
for growth in a shifting financial
services landscape



Introduction

When neobanks and other fintechs entered the market, they drove both disruption and innovation with offerings that delivered greater convenience and choice for consumers. These new entrants were initially viewed as direct threats to market share by brick-and-mortar retail banks. However, in recent years, the relationship between these players has evolved to one of symbiosis as traditional and emerging players realized that they—and their customers—could benefit from each other’s unique strengths.

At the same time, many of the players have begun to offer the same or similar types of services, such as checking accounts, savings accounts, brokerage services and even money transfer capabilities. Digital wallet platforms and peer-to-peer (P2P) apps, for example, typically started with a single offering, and many have now begun to expand their services.

These developments pose many interesting questions in terms of why the market has moved in this direction, how players differentiate themselves and what does this mean for the money movement space going forward?

A comprehensive review of the industry landscape and emerging players today: how players in the space compete with each other, how they interact with other players in the space, and how they plan to grow and partner in the future. Visa conducted an in-depth market scan leveraging publicly available information

Speaking the same language

In a rapidly evolving landscape, there is often ambiguity around the terminology used to describe players. It is important to identify how we defined key segments in our research to ensure clarity in presenting findings and recommendations.



Brick-and-mortar retail banks	Established, regulated banks and credit unions with a banking license that serve consumers and small businesses. This group includes international, national and small regional banks.
Neobanks	Digital-only entities, sometimes known as challenger banks, including those that operate exclusively via an online approach—direct-to consumer, with no physical branch network.
Fintechs	Money Transfer Organizations (MTOs): Businesses that provide money transfer services that facilitate sending money between people across borders. Digital Wallets: Companies that allow users to make electronic transactions, including P2P transfers, in-store merchant payments, online payments, bill payments and even services like investments and insurance.



To explore the drivers and implications of these developments and deliver critical insight into the future of the space, Visa Direct conducted a holistic research study, completed in August 2024. Our research consisted of two components:

1

A comprehensive review of the industry landscape and emerging players today: how players in the space compete with each other, how they interact with other players in the space, and how they plan to grow and partner in the future. Visa conducted an in-depth market scan leveraging publicly available information and third-party consultants for resources and data.

2

36 in-depth interviews with industry leaders in the banking space across the following segments: neobanks, other fintechs (like P2P apps and digital wallets), and brick-and-mortar retail banks across the globe—including North America, Europe, Central, and Eastern Europe, the Middle East, and Africa (CEMEA), Asia Pacific (APAC and Latin America (LATAM)). The interviews focused on gaining perspective into the issues these firms are solving for, how they differentiate with competition, growth strategies, the relationship dynamics between brick-and-mortar retail banks, neobanks and fintechs, and the appetite of neobanks and fintechs for obtaining a banking license.

This report leverages the research findings to provide insight into the changing dynamics between fintechs, neobanks and brick-and-mortar retail banks, and to identify requirements and growth strategies for successfully navigating the road ahead.

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The past

The banking landscape has changed significantly in the last decade, redefining the game for all players. A growing universe of neobanks and fintechs, including MTOs and digital wallets, disrupted the market by offering limited, mobile-first banking services, such as checking accounts, debit/credit cards, and brokerage services, without physical locations. While these new players delivered compelling convenient user experiences, they do not typically hold banking licenses and are not regulated deposit-holding institutions.

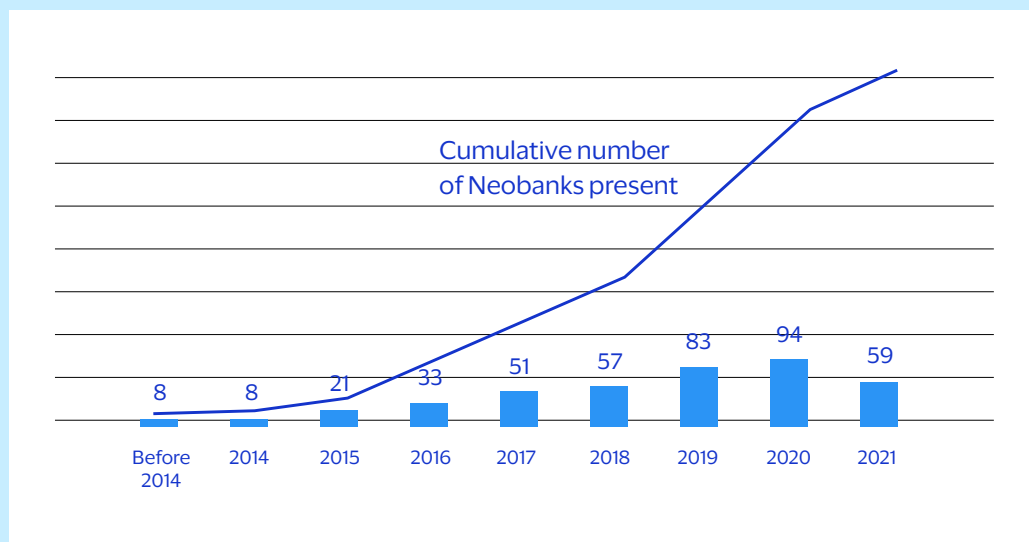
In the last decade, the number and reach of neobanks and fintechs has exploded, and growth can be mapped to three distinct phases:

Phase 1 | Proliferation of firms

When first launching, neobanks and other fintechs typically focused on a “niche” audience, specific geography or a combination of the two—often looking to fill a gap in the market. Many characterized themselves as being “purpose driven,” differentiating through a value proposition intended for a specific demographic, like SoFi providing student loans or Nubank helping the underbanked gain access to banking and credit. As they built awareness and trust, many fintechs and neobanks began to expand offerings and embarked on selling those offerings to new and existing customers to better serve consumer needs.

Number of Neobanks¹

From 2014–2021



400+

From 2014–2021, the number of neobanks grew from fewer than 50 to over 400¹

Several factors fueled this first phase of growth, including regulatory, economic, technological and consumer expectation factors.

Financial crisis & regulation

Multiple sources cite the financial crisis as the starting point

The crisis created mistrust among consumers, and opened the door to new, more stringent regulations on retail banks

Retail banks focused more on their ability to remain solvent, leaving a window for innovative new players to enter

Digitization

Breakthrough technologies including mobile, “the cloud”, and banking as a service

Digitization drives efficiency, leading to simpler, more customer focused and friendly processes

Proliferation of Smartphone usage and the emergence of eCommerce leading to more of a need for neobanking

Customer expectation

Speed of execution—digitization inherently builds the expectation of being faster

Expectations surge for better interfaces and user experience

Consumers are looking for a better deal—better savings rates, benefits & rewards, but also—better service

Funding environment

Low interest rates environment promoting more private market investment

Investors were primarily focused on customer acquisition and market capture

Financial inclusion

Explosion of Broadband access and smartphone usage across many geographies

Enabled new fintech providers to enable access to and transfer of funds to the unbanked and underbanked populations

Local government initiatives to promote growth & innovation and to encourage digital transactions

Phase 2 | Growth in number of users

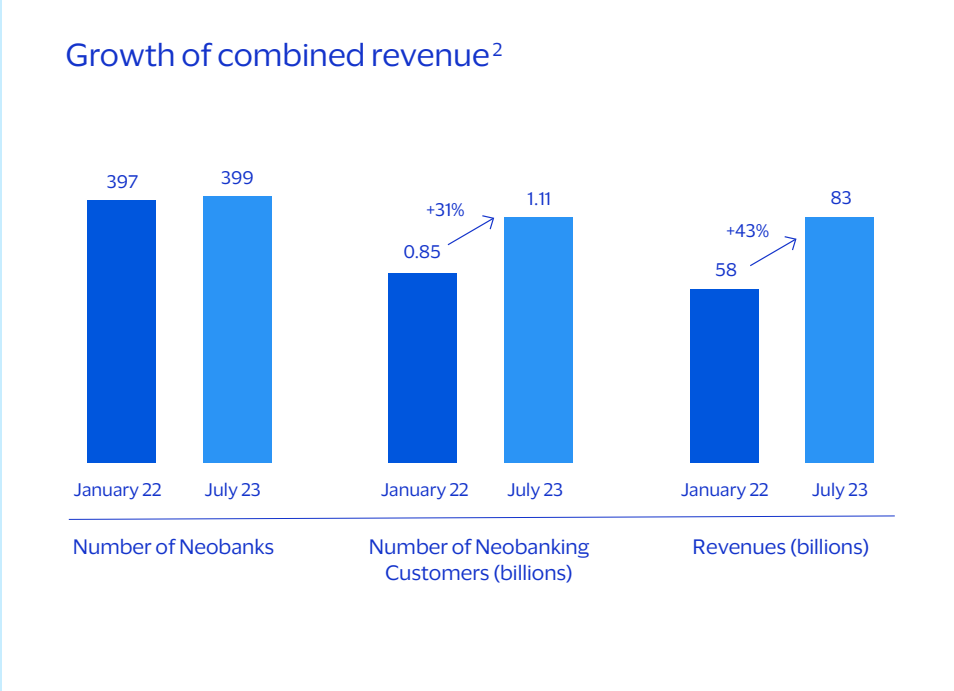
From January 2022–July 2023, the number of neobank customers jumped 31%²

When the economic environment began to change in late 2021, with interest rates rising and access to funding becoming more difficult, players’ focus shifted to customer acquisition. Between January 2022 and July 2023, the number of neobank customers globally grew significantly—increasing by nearly one-third year over year. In the same period, combined revenue grew by 43%. The largest and most established firms continued to grow their customer bases through increasing brand awareness, gaining consumer trust and expanding their set of offerings.

Today, however, with early movers having built a brand and captured a large market share within a challenging funding environment, new entrants with a strategy to solve niche issues are likely to find it increasingly challenging to thrive.

43%

From 2022–2023, growth of combined revenue²



Phase 3 | Profitability

The market continues to experience demographic, macro-economic and geopolitical shifts that will impact the path forward for players in the banking industry. Worldwide, company and funding focus for neobanks and other fintechs appears to have shifted from customer acquisition to profitability. With many firms having obtained capital from venture capitalists and private equity over the past five to ten years, they are beginning to feel pressure to show return on investment to their investors.

Executives shared a variety of opportunities when speaking about paths to profitability, with four common growth strategies emerging: geographic expansion, product and revenue diversification, mergers and acquisitions and new target demographics. Each of these four strategies is discussed in detail, later in the report. Respondents in our study emphasized the importance of a business' ability to scale while maintaining or increasing profitability.



The present

Symbiotic relationships

We have seen widespread emergence of a symbiotic relationship between neobanks, other fintechs and brick-and-mortar retail banks. While competitive in many aspects, these relationships offer fundamental benefits to both sides. For example, neobanks and other fintechs get the required regulatory and licensing access from brick-and-mortar retail banks to offer core banking services to their customers. Brick-and-mortar retail banks simultaneously leverage the seamless user experience capabilities and more modern payment technology from the neobanks and fintechs to support faster digitization of their services to keep up with their customers' evolving expectations.

Consumers are also making more cross-border transactions, which opens new opportunities for all players. Ernst & Young asserts that the global opportunity in money movement has reached \$200 trillion³, and Visa Direct research has found that 79% of surveyed respondents from 13 markets around the world have made ecommerce cross-border payments in the last 12 months, and 4 in 10 have sent or received remittances in the same time frame⁴.

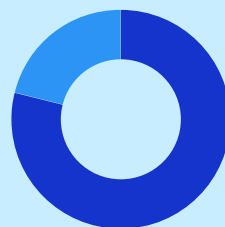
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It's a collaboration because both of them (neobanks and traditional banks) need each other. Neobanks will help the physical banks to scale up their offering, so they will be able to reach more people in all the sections of the country, all demographics. So, both traditional banks and neobanks are the financial labs. Together they constitute the ecosystem.

”

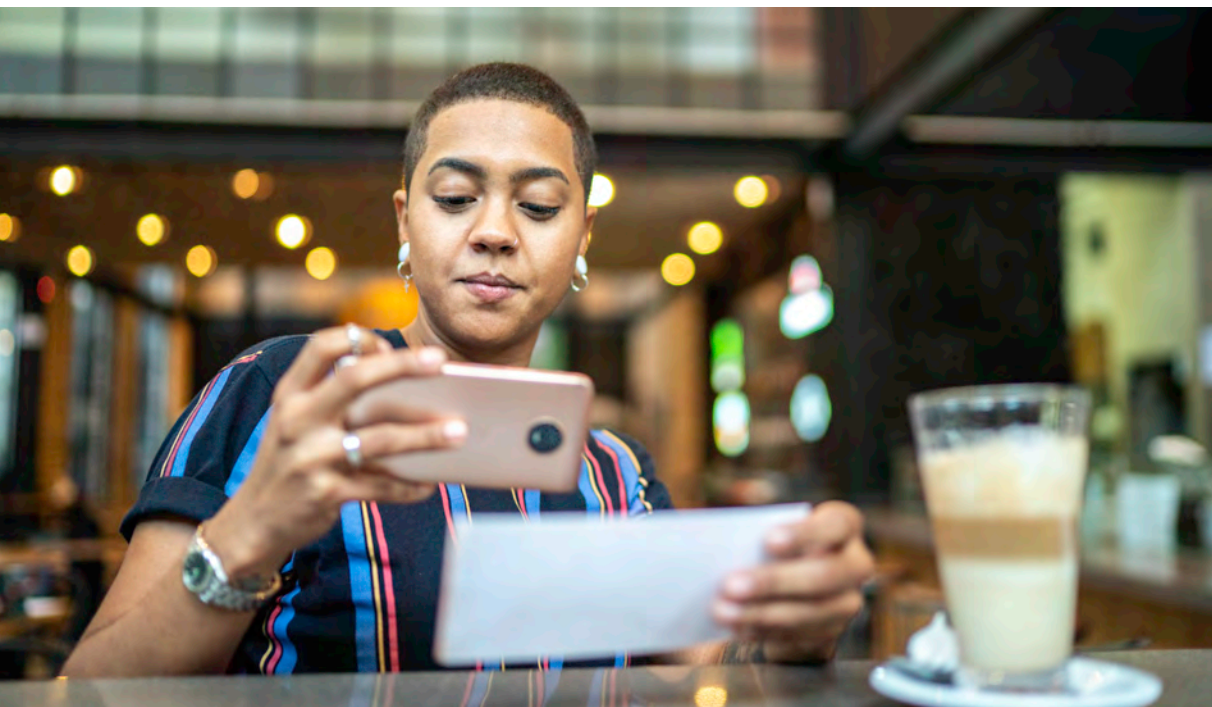
\$200T

global opportunity in
money movement³



79%

of surveyed respondents
from 13 markets have made
eCommerce cross-border
payments in the last 12 months⁴



Guidance is valued

70%

of consumers say they could use some guidance on what payment types to use when⁴

There are several drivers for this growth. Growth in international commerce, transformative changes in digital technology, advances in money movement, and flexible work have made it easier for individuals to move around the globe—for short-term stays or permanent migration. Migrants, accounting for approximately 281 million people worldwide⁵, are a significant part of the population in many countries today. Most recently, we've seen the emergence of digital nomads or location-independent workers who combine working remotely and traveling. This group—which may include up to 35 million people globally⁶—continues to expand and presents opportunities for individuals and businesses alike. These opportunities include remittances, with Visa research finding that 45% of those sending remittances do so at least once a month⁴.

It's important to note that customers today expect the same speed and convenience for cross-border money movement that they experience with domestic transactions. However, for most, their cross-border money movement experiences are characterized by delivery delays, a lack of transparency, high costs and complex user experiences.

Consumers seek greater guidance and options moving forward. Twenty percent of respondents in the Visa Direct research referenced previously say they do not currently have enough options, and 70% say they could use guidance on what payment types to use when⁴.

To retain customers in a market filled with alternative choices, all players need to be able to exceed customer expectations by offering seamless and fast experiences. Their individual paths to achieving this goal, however, may be very different.

Convenience is key

61%

of consumer respondents feel convenience is most valuable when managing money⁷

Willing to switch

71%

of consumer respondents say they are very likely to switch cards for digital capabilities⁸

The future

With this context around the banking industry, past and present, Visa Direct set out to understand what's next by testing four hypotheses in its research initiative.

Hypothesis 1

Neobanks and other fintechs that focus on growth through interoperability and can demonstrate agility in navigating the evolving regulatory environment have a better chance of flourishing.

The concept of interoperability is well known within the industry and considered critical, both now and in the future of banking, financial services and beyond. Since most consumers have multiple financial accounts that span institutions and use several payment methods, exclusivity to a single financial institution is increasingly rare. To continue to thrive, organizations must offer the optionality that customers need as well as seamless experiences to drive loyalty.

Furthermore, firms focusing on interoperability, both technological and across services and institutions, will ease the stress of future integration, ultimately enabling faster upgrades, expanding to a broader set of customers and tapping into new revenue streams.

With local government initiatives and intra-regional partnerships increasingly driving digitization—such as UPI in India, the National Payment Corporation of Vietnam, PIX in Brazil, and the central banks of Indonesia, Malaysia, the Philippines, Singapore and Thailand signing a Memorandum of Understanding in 2022 with a goal of achieving interoperable regional payment connectivity by 2025—neobanks and fintechs that can seamlessly connect with other technology systems and partners will have an important first-mover advantage within this very competitive landscape.

Given there is significant cost and effort associated with interoperability initiatives, respondents underscored the importance of building the technology for interoperability with a purpose (i.e. a specific use case) and utilizing sandbox environments to test and learn prior to implementation.

Further, as more regions and countries innovate to expand financial inclusion, there will be new opportunities for both fraud and instability. As such, security is consistently the most important factor for consumers when choosing a cross-border payment method (63% for travel, 62% for ecommerce and 59% for remittance transactions)⁴. In addition to interoperability, neobanks and fintechs that prioritize privacy and security will be even better positioned for the future of this space.

“

Interoperability is front and center for a lot of Fed rules and regulations. I have been in meetings and conferences where they're already thinking from a Fed standpoint on, how can I enable that for international transactions? The capability to connect and sustain interoperability is extremely vital.

”

—Risk and Strategy Director, Retail Bank



Hypothesis 2

Opportunities still exist for neobanks to serve additional underserved segments of the population. Some of those areas include applications to support new ways of working, the elderly or those with accessibility needs, and health and financial wellness.

While neobanks have begun to reduce the number of unbanked, there are still opportunities to serve additional populations. According to the World Bank, today, about half of the global population still needs additional banking services, most notably access to credit⁹.

While neobanks have begun to reduce the number of unbanked adults (approximately 3 billion individuals worldwide)⁹, there are still significant areas, notably in the Southern Hemisphere¹⁰ that continue to be underserved.

In addition, there is a growing number of migrants across the globe—more than 185 million¹¹. These individuals need to send and receive funds while away from their home country and represent an additional underserved population neobanks and other fintechs can reach. Further, demographic segments that have historically preferred cash as a payment method (such as older populations) are yet another underserved group that may present incremental opportunities for expansion.



3B

unbanked individuals worldwide (approximately)⁹

Percentage of unbanked and underbanked adults (out of total population) across major global regions⁹



Note: "Underbanked" defined as % of adults without a credit card; "mobile penetration" defined as % of adults who own a mobile phone; cash usage" defined as % of adults who made a utility payment using cash only.

Hypothesis 3

The existing symbiotic relationship will continue, with neobanks, other fintechs and brick-and-mortar retail banks leveraging each other for their respective expertise.

Relationship dynamics are widely considered to be symbiotic, and not competitive. This is because neobanks and some fintechs generally target clients with lower asset and income levels, and less complex banking needs, in contrast to brick-and-mortar retail banks.

We attempted to identify a tipping point where this widely collaborative relationship could dramatically shift, but based on interviews this is not likely in the near future. In fact, most respondents agree that fintechs, neobanks and the brick-and-mortar retail banks with which they partner will continue to rely on one another in a symbiotic fashion. Today, neobanks and fintechs benefit by partnering with brick-and-mortar retail banks to help them align with banking license requirements as they expand services. Conversely, brick-and-mortar retail banks utilize the digital-first capabilities that neobanks and fintechs deliver with greater ease and agility. Most leaders indicated that they expect to see this mutual reliance grow further, with more partnerships expected in the future.

Hypothesis 4

The emerging trend of brick-and-mortar retail banks creating their own neobanking arms/digital ventures internally will continue.

With fintechs expected to play a growing role in the banking industry and money movement space, large brick-and-mortar retail banks, with access to greater financial and human resources, continue to prioritize digitization. Some banks invest in building strategies, developing their own digital ventures, or buy strategies through acquisition. In response to the influx of fintechs and broader digitization trends, most large brick-and-mortar retail banks either already have, or are in the process of establishing, innovation hubs and/or digital ventures. As the market continues to shift to digital-first preferences, investment in digital ventures will likely continue at pace.



Many paths to future growth

There is no single path to growth as each organization is a unique entity. However, the majority of players in the banking industry, both brick-and-mortar and digital natives, pursue one or more of the following growth strategies.

Most firms will employ multiple strategies when expanding operations. In addition, it is important to consider other external factors that influence growth plans and opportunities, such as government initiatives (introducing a new payment rail or multilateral payment linkages across a region), new or changing regulation(s), and shifts in the macro-economy (interest rate environment).

1.
Geographic
expansion

2.
Product and revenue
diversification

3.
Mergers and
acquisitions

4.
New target
demographic

1 | Geographic expansion

Today, geographic expansion, particularly across continents, is very difficult. Some successful fintechs have tried and failed, as this approach is well beyond a simple “lift and shift.” Deeply understanding the local market dynamics and cultural nuances and performing thorough due diligence to engage with local partners is critical. Also, regulatory requirements differ country by country, creating the need for expanded infrastructure, extensive regulatory expertise and compliance capabilities. Given these considerations, expansion is much more likely to occur within a region with neighboring countries. However, organizations that can overcome these challenges by creating an ecosystem have an opportunity to reach untapped markets, including more than 185 million migrants worldwide¹¹ and a growing universe of location-independent workers.



2 | Product and revenue diversification

In a fairly short time, the environment has become more difficult for new market entrants due to tighter funding and stiffer competition. The marketplace has become saturated with players offering similar multi-product solutions or focused offerings. Participating firms in our research represent both ends of that spectrum. Respondents express varying opinions as to which of these strategies may be more successful moving forward. It is important to note that whichever approach an organization pursues, it must ensure that the additional services offered and/or updates to existing services must be consistent with their customers' wants, needs and expectations.

Respondents explain that regardless of strategy going forward, executional excellence (by developing desired features and functionality) and interoperability capabilities are the priorities. Those finding success embrace "test and learn" agendas, quickly and constantly innovating to meet the needs of their customer base and competition.

Product-centric growth strategies:

Multi-product platforms

Expanded to offer a range of services like banking and savings, investing, account transfers, lending (requires banking license) or AI-powered capabilities, such as budget tracking tools

Single offering

Firms take a more targeted approach, focused on a single offering with flawless execution

Case study: Neobank pursues multiple avenues to growth

A participating company in our study, and now one of the largest neobanks in the world, recognized a massive gap in their local market. The start-up first launched with a single offering, providing greater access to credit, even if just a relatively small amount, for millions of underserved consumers (those who have historically not been eligible for credit). Focusing on the quality of its app and excellent execution, the firm grew its customer base to over one million in two years. Trust grew, and with the help of referral plans, it began to launch additional products, such as savings accounts, to serve its fast-growing customer base. innovating to meet the needs of their customer base and competition.

While some neobanks and fintechs seek growth through new product offerings, and subsequently, regional expansion, different players have chosen to expand through capturing a greater share of deposits in their initial launch market.

In contrast, another neobank participating in the study, significantly smaller in size compared to the above example, has continued to offer high-yield savings accounts and mortgages. While it has added variations and enhancements to its current account offerings, the product line has remained the core focus. The firm is focusing squarely on executional excellence to drive growth versus product diversification. Earlier this year, the firm announced that it has reached full profitability and looks forward to continued success through its existing offering.

3 | Mergers and acquisitions

Many respondents note that brick-and-mortar retail banks are often tied to costly, rigid legacy systems that incur significant technical debt and maintenance burden—and, ultimately, limit capital for digital initiatives. These systems also increase risk due to these same considerations, making it extremely expensive to launch new digital initiatives at scale. As they move forward, brick-and-mortar retail banks are likely to pursue one or more of the following strategies to overcome the challenges associated with their legacy systems:

- Invest in independent ventures, building a subsidiary focused on digital initiatives that ultimately benefits the parent company
- Consider more fintech partnerships, establishing teams to identify opportunities (e.g. connecting to existing digital wallets)
- Acquire smaller, not yet established fintechs to fill the digital gap

The options that they choose will be highly dependent on internal resources as well as overall operational strategy. But one strategy was the dominant one amongst study respondents. Brick-and-mortar retail bank study respondents felt that new partnerships will be an even more likely possibility moving forward. They spoke openly about the challenges of growing their digital capabilities, often acknowledging that they are historically slower to respond and face more layers of internal bureaucracy and regulatory and compliance requirements. While internal digital ventures at brick-and-mortar retail banks aim to be more agile, they are still part of a broader legacy institution, where changing the culture and implementing new ways of working can be hard to believe.

In addition to brick-and-mortar retail banks, we anticipate that larger, more mature fintechs or neobanks will also participate in mergers and acquisitions, buying smaller fintechs that weren't able to sufficiently scale.

4 | New target demographic

Many neobanks consider themselves purpose-driven, having come to market with the goal of serving a particular demographic or market segment. Opportunities exist to support new target demographics, especially within the cross-border payments space, unbanked and underbanked populations, small- and medium-sized businesses, multi-currency wallets and other niche demographics, like the aging population, Gen Z, migrants, or highly affluent customers. Respondents from neobanks noted the continued high number of underbanked populations in neighboring countries of their firm's home operations, most notably across LATAM and CEMEA. A recent report highlights unbanked populations of 35% and 52% in LATAM and the Middle East and Africa (MEA), respectively⁹.



Moving forward: How can you best position the business for success in the future?

While there may not be a one-size-fits-all formula for success, neobanks, fintechs and brick-and-mortar retail banks can win by focusing on:

Embracing AI

AI solutions can help banks capture and analyze customer behavior, which they can use to build products and services that truly solve customer pain points. Firms that can fully leverage data and analytics will be well positioned to build products and services that best serve their customers' needs as well as improve security. AI solutions for recognition of purchase patterns and prediction of next actions will play a stronger role in this moving forward.

Prioritizing interoperability

Committing to expanded interoperability, including the elimination of walled gardens, will not only enable organizations to more easily adapt to changing market conditions, it will also allow them to serve larger populations. Furthermore, since financial exclusivity is a thing of the past, businesses that prioritize the user experience, creating truly seamless movement across the user's various financial accounts, will win their loyalty.

Influencing, leveraging and building upon government-sponsored initiatives

Payment rails implemented by governments are a powerful catalyst for innovation and a driver for new companies entering the real-time payments space. Additionally, there has been a growing trend in regional frictionless payment connectivity. Players that can influence and embrace these initiatives especially before they officially launch will be well positioned to grow.

Exploring untapped opportunities

Specifically, banks can focus on taking advantage of opportunities in cross-border payments and B2B audiences. Overcoming cross-border challenges that impede growth by partnering with a global payments network, like Visa Direct, offers firms the opportunity, unlike most competitors, to expand across regions and do so rapidly.

First-mover advantage

Finally, one cannot underestimate the power of the first-mover advantage, especially for neobanks and other fintechs. Organizations that can quickly and effectively move forward to pursue the aforementioned growth strategies will have an increased chance of success.

Firms that have this first-mover advantage can very well become the go-to option for consumers as many have not formed strong habits and are open to guidance and options. Recent research found that 34% of consumer respondents said they are looking for new and better cross-border payment options⁴.

Given the complexity of the market, ever-changing regulatory environments, increased focus on profitability, and the unprecedented pace of change—including technological advances and elevated customer expectations—it's clear that no financial services platform can go it alone. They require a trusted partner who can help them achieve the scale, agility, operational efficiency, and innovation required to thrive today and in the future.

34%

of consumers are looking for new and better cross-border payment options⁴

57%

of consumer respondents are open to trying new technologies for managing money⁷



How Visa Direct can help

While Visa Direct's research acknowledges that paths to success may be unique, Visa Direct can benefit any and all of the players in this space by enabling global money movement through a single partner.

- Simplify the path to market expansion with reach to 195+ countries and territories and support currency conversion in 160 different currencies
- Streamline current money movement operations and expansion plans with a single partner
- Benefit from immediate and seamless access to future updates and new capabilities to keep up with ever-evolving industry through Visa Direct Connect
- Leverage the trust and awareness of the Visa brand
- Complement existing security infrastructure with Visa's robust risk and compliance framework, which can be layered on top of a player's existing solution

We do this by bringing together Visa's extensive networks, platforms and services to create an integrated solution that transforms the way businesses and their customers move money domestically and across borders.

What sets Visa Direct apart from other money movement partners is our single solution that provides borderless access, innovation, trust and prosperity. Visa Direct simplifies the complex so you can focus on what matters most, your customers, with ease and peace of mind.

Instead of building your own solution or partnering with multiple providers, Visa Direct provides an end-to-end, modular technology approach so individuals and businesses can move money across the globe, their way.

Visa Direct clients can collect, hold, convert and send payments to over 11 billion eligible cards, accounts and digital wallets collectively, enabling them to shape the future of how people, businesses and governments move money.

In addition, Visa Direct now enables fast payment experiences through a single point of connection called Visa Direct Connect. This new enablement service consolidates our money movement solutions and makes it even easier to integrate, consume and maintain them.

Simply stated: the new supercharged Visa Direct helps provide the reach, security, and speed you need to move money your way.



Visa Direct.
Move money
your way

Appendix A

To license or not license?

It is vital to discuss the licensing question, an important consideration for fintechs and neobanks as they chart their path forward.

In our research, opinions varied on whether more neobanks and other fintechs will look to secure a banking license in the future.

Study respondents noted that having a license provides greater flexibility and ownership with respect to product offerings and, specifically, the ability to hold funds—which is fundamental to the monetary systems of each country—as well as entry into credit. However, it can be costly, and those who achieved this status typically needed to raise capital to do so.

Over time, banking licenses may be more sought after, but in the current environment, there appears to be more impediments to obtaining one than benefits, especially since partnership options are plentiful. Additionally, licensing may not be a realistic option in some regions, where strict regulation would nearly preclude the possibility. One respondent said, “For those that may want to seek a license, the path forward is more likely through acquisition of a regional bank.”

Arguments in favor of obtaining a bank license

- Ability to expand product portfolio
- Independence—greater control over marketing, revenue and operations
- Credibility and perceived safety of funds
- Revenue potential via expanded portfolio and new interest income (NII)
- Insolvency risk of partners



Arguments against obtaining a bank license

- Capital requirements may be prohibitive
- Ability to remain agile, with accelerated product development
- Initial and ongoing expense of building out regulatory scrutiny
- Lengthy end-to-end process
- Failed attempts impact brand perception/valuation
- Ability to leverage partner bank's brand

Growth strategy deep dive: A look at key segments

Although growth strategies should be unique to an individual firm's needs and resources, trends emerged amongst certain clusters of fintechs

How to read the graphic:

Each quadrant (Geographic, Product, Mergers and acquisitions and Demographic) represents a growth path.

Each circle represents the proportion of firms that have followed that particular growth strategy.

- The size of each circle is indicative of the number of companies pursuing a specific path or paths.
- Circles can cross multiple growth paths

Geographic

Product

Mergers and acquisitions

Demographic



Neobanks

Most Neobanks that have successfully expanded have done so through a combination of new product offerings and moving into new geographies, typically within a single region.

Some began expanding their product offerings and then looked to acquire smaller retail banks to obtain a banking license, enabling future product expansion and less reliance on the brick-and-mortar retail banks. Others pursued additional customer segments, such as small to medium-sized businesses

Money transfer operators (MTOs)

Growth through new product offerings is the most common way for MTOs to expand their business. The most mature/established MTOs have leveraged all four growth strategies. Notably, they prioritized interoperability, which enables remitters' funds to flow seamlessly across accounts and wallets, so that they could easily add product offerings through integration and/or partnerships with other fintechs and neobanks. One of the MTOs we spoke with represents a prime example of expanding its market by leveraging interoperability to offer its remittance capabilities to other companies.

Digital wallets

Most players have grown through a combination of geographic expansion, product expansion and mergers and acquisitions.

Early-stage digital wallets often start by expanding exclusively through new products or demographics. Digital wallets typically become customers' first and most frequent touch point, which provides a natural opportunity for wallet platforms to deliver other experiences, such as P2P, remittances and wealth management. They also have a unique opportunity to integrate with other services, such as shopping and grocery delivery, thereby expanding outside the realm of financial services.

It is important to note, however, that many digital wallets will ultimately succeed by leveraging multiple growth paths.

Brick-and-mortar retail banks

These institutions remain behind fintechs and neobanks when it comes to digital innovation, in part, because of legacy technology and technology debt. The largest global retail banks, with significant resources, will typically leverage all growth paths as they expand over time. Smaller, more localized banks will often expand geographically within their region and may rely on mergers and acquisitions to accomplish this goal.realm of financial services.

Appendix B

Methodology

Secondary Research

Leveraged publicly available information and third-party consultants for resources and data. Resources included: money movement solutions and makes it even easier to integrate, consume and maintain them.

- White papers from industry consultants
- New articles and blog posts
- Primary market research studies
- Company Websites

In-depth interviews

Who did we speak to?

36 one-on-one interviews with senior executives and decision-makers representing:

- Brick-and-mortar banks: 10
- Neobanks: 11
- Digital wallets (including P2Ps): 9
- Money transfer operators (MTOs): 6

Region	
NAM	
Europe	  
Cemea	 
APAC	  
LATAM	 

* Interviews conducted June 18–July 29, 2024

Audience criteria

To validate our hypotheses, we spoke with executives at fintechs and brick-and-mortar retail banks. To ensure the best quality study respondents, we employed a series of screening criteria:

Firms' size	Fintech types	Functional roles and titles	Decision-maker criteria
Brick-and-mortar retail banks Assets under management (AUM) of at least \$1BN*	Neobanks - Digital only direct banking services to individuals and organizations, with no physical branches. Remitters - Facilitate electronic transfer of money from one person or entity to another, typically across international borders.	Roles /function - Corporate strategy - Business development - Risk & compliance - Payments - Product management - Leadership committee/ C-suite	- Has influence over strategic partnerships - Has influence over company expansion (i.e., entering a new market) - Has influence over mergers and acquisitions activity - Has influence over new product launches and features and tools.
Fintechs A mix of providers (by revenue) - Small / medium: \$1 – \$100MM / \$100 – \$500MM - Large: > \$500mm revenues	P2P (peer to peer) - Decentralized platform where individuals can make payments directly to each other, without intermediation by a third party. Digital wallets - Applications that enable storing of funds, transactions, and tracking payment history.	Job titles - Vice President/ Senior Vice President - Directors/Managing Director - Executive	<i>Respondents from brick-and-mortar retail banks to have strong knowledge of neobank relationship dynamics</i>

Sources

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11. World Development Report 2023, World Bank. The World Development Report is an annual report published since 1978 by the World Bank. Each report provides in-depth analysis of a specific aspect of economic development.
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